Using USDA's GSM-102 Program for U.S.–Dominican Republic Trade

Scenario: You have a U.S. agricultural supplier (American MFG & MKT Association USA) and a Dominican Republic (DR) partner company (acting as a broker/facilitator) looking to export dry goods and meats from the U.S. to the DR. The goal is to utilize the USDA's **GSM-102 Export Credit Guarantee Program** to finance the exports, while managing customs and import requirements in the DR. Below is a comprehensive guide on how to structure the deal, use the GSM-102 program, and handle regulatory issues (like customs, import permits, etc.) for a successful U.S.–DR agricultural trade venture. This process applies whether your Dominican client is a specific company (e.g. **Zapp**) or any other buyer – the key steps remain the same.

Overview of the GSM-102 Program (Export Credit Guarantee)

The **GSM-102 program** of the USDA's Foreign Agricultural Service provides credit guarantees to encourage U.S. agricultural exports, particularly to developing markets. In essence, GSM-102 **reduces the financial risk** of selling on credit by having USDA's Commodity Credit Corporation (CCC) **guarantee repayment** on a significant portion of the export loan. Here's what that means:

- **Payment Security:** If a foreign buyer's bank fails to pay the U.S. exporter or lender, USDA (CCC) covers most of the outstanding amount (typically **up to 98% of the principal** plus a portion of interest). This greatly reduces non-payment risk for the exporter.
- **Facilitating Financing:** With the USDA guarantee in place, U.S. banks are willing to offer **competitive financing terms** to the foreign buyer's approved bank. The Dominican buyer can thus buy U.S. goods on credit (usually up to 180 days or more), making the deal more feasible for them.
- **Eligible Products and Countries:** GSM-102 covers a wide range of agricultural commodities, including bulk goods (grains), intermediate products, and high-value foods like **meats, packaged dry goods, fruits, etc.**. The Dominican Republic is an eligible destination under GSM-102 (it falls in the Caribbean/Latin America region), and major Dominican banks (e.g. **Banco Multiple BHD León** and **Banreservas**) are approved foreign financial institutions that can participate in the program. In other words, U.S. exporters can use GSM-102 for sales to the DR, and letters of credit can be issued by approved DR banks under the guarantee.

Why Use GSM-102? For the U.S. exporter, the program opens markets that might be risky due to credit concerns. You can confidently extend credit to a Dominican buyer (or their bank)

knowing the **U.S. government guarantees the bulk of the payment**. For the Dominican importer, it means access to **favorable financing** – they can buy more product or manage cash flow by paying over time, thanks to the credit terms enabled by GSM-102. This win-win makes it easier to do business across borders.

Steps to Use GSM-102 for a U.S.–Dominican Republic Export

Using the GSM-102 program involves coordination among the U.S. exporter, the Dominican importer (or facilitating broker), and banks in both countries. Below is a **step-by-step process** to execute a GSM-102-backed export deal, from preparation to payment:

1. **Exporter Registration & Qualification:** The U.S. exporting company must **qualify for the GSM-102 program**. This involves registering with USDA (e.g. via SAM.gov and FAS online systems) and submitting an exporter application for GSM-102. Only qualified exporters can receive GSM-102 guarantees. Make sure American MFG & MKT Association (USA) completes this registration early on.
2. **Negotiate a Sales Contract:** The U.S. exporter and the Dominican buyer (which could be the DR partner's company or a third-party client that the DR broker found) negotiate a **firm sales contract** for the goods (meat, dry foods, etc.). This contract should include the payment terms that will be financed – typically an **open account with deferred payment**, since GSM-102 is used when the buyer needs time to pay. It's common to agree that payment will be made under a Letter of Credit with, say, 180-day or up to 1-3 year terms, depending on the program allowance.
3. **Obtain a Letter of Credit (L/C) from a Dominican Bank:** The Dominican importer (or the DR partner acting on their behalf) goes to an approved local bank to open a **letter of credit** in favor of the U.S. exporter. **Important:** The L/C must be issued by a **USDA-approved foreign bank** in the DR. In the Dominican Republic, banks such as **Banco Multiple BHD León** and **Banco de Reservas (Banreservas)** are approved to participate. The L/C will state that the U.S. exporter will get paid at sight (immediately upon presenting shipping documents) while the Dominican bank will pay on behalf of the importer under deferred payment terms. Essentially, the L/C backed by GSM-102 is what facilitates the secure credit arrangement.
4. **Apply for the GSM-102 Guarantee:** With the sales contract and L/C in hand, the **U.S. exporter applies to USDA's CCC for a GSM-102 payment guarantee** on that specific export deal. The application will include details of the sale, the foreign bank issuing the L/C, the tenor (repayment period), and the amount to be guaranteed. The exporter will also pay a **guarantee fee** to USDA as required. (This fee can often be built into the pricing of the goods.)
5. **Receive the CCC Guarantee:** Upon approval, USDA's Commodity Credit Corporation issues a **guarantee** for the transaction to the exporter. This guarantee typically covers **98% of the principal** (and a portion of interest) of the financing extended to the foreign

bank. The guarantee is essentially a document that the exporter (or their bank) can claim against if the foreign bank fails to pay on time.

6. **Assign the Guarantee to a U.S. Bank:** In most cases, the U.S. exporter will **assign the CCC guarantee to a U.S. commercial bank** that will finance the transaction. Practically, this means the exporter finds a U.S. bank (perhaps their own bank) that is willing to take the USDA guarantee as security. That U.S. bank effectively becomes the entity extending credit to the Dominican bank. By assigning the guarantee, the exporter transfers the right to claim the guarantee to the bank – this way, the **bank will pay the exporter upfront** for the shipment, and then await repayment from the Dominican bank under the USDA-guaranteed terms.
7. **Ship the Goods and Provide Documents:** Once the guarantee is in place and financing is arranged, the U.S. exporter proceeds to **ship the goods** (meat, dry goods) to the Dominican Republic. Documentation is critical here. The exporter must gather all required **shipping documents** and present them to the U.S. bank (the one that has the L/C and guarantee) in order to get paid. Typical documents include: commercial invoice, packing list, **bill of lading**, insurance certificate (if required), and any specialized certificates (e.g. **USDA health certificate for meats** or a phytosanitary certificate for plant products) – basically whatever is stipulated in the letter of credit and required by Dominican import regulations. The U.S. bank will **examine the documents** to ensure they comply with the L/C terms. Once everything is in order, the U.S. bank pays the exporter (see next step).
8. **Exporter Gets Paid by U.S. Bank:** With compliant documents presented, the U.S. bank will **pay the U.S. exporter at sight** (essentially immediately or within a very short time). At this point, the exporter's role in the payment cycle is essentially done – they've gotten their money for the sale. The U.S. bank now steps into the waiting position: under the GSM-102 arrangement, that bank has extended a loan (guaranteed by USDA) to the **foreign (Dominican) bank** for the value of the shipment.
9. **Deferred Payment by the Dominican Bank/Importer:** The Dominican bank that issued the L/C now owes the U.S. bank the amount paid, but on the **agreed credit terms**. For example, if it was a 180-day credit, the foreign bank will repay the U.S. bank in 180 days (or in installments, if structured that way). The Dominican importer in turn owes their local bank according to whatever terms they agreed (the local bank may require the importer to pay in local currency on a schedule, etc.). In summary, the **foreign bank pays back the U.S. bank** over time, and the **importer pays the foreign bank**. All of this is backed by the GSM-102 guarantee in case something goes wrong.
10. **If Default Occurs – Claim the Guarantee:** In the event the **Dominican bank fails to pay** the U.S. bank as promised (e.g. due to default or insolvency), the U.S. bank (as the holder of the CCC guarantee) can **file a claim with USDA** to recover the guaranteed amount. The USDA would then pay out (covering ~98% of the outstanding principal) to make the U.S. bank whole for the loss. The remaining 2% exposure is typically the risk that the U.S. bank (or sometimes the exporter, depending on arrangement) retains – a small fraction, ensuring they still exercise due diligence in partner selection. Fortunately, such defaults are rare, and with reputable banks like BHD León or Banreservas, the transactions usually conclude with the foreign bank paying as agreed.

Visualizing the Flow: Essentially, GSM-102 creates a chain where the **USDA (CCC)** stands behind the U.S. bank, the U.S. bank stands behind the U.S. exporter (paying them upfront), and the **Dominican bank** extends credit to the **Dominican importer**. The Dominican partner or buyer gets the goods right away but pays over time; the U.S. exporter ships the goods and gets paid right away; the banks facilitate this by using the USDA guarantee as a safety net.

Roles of the U.S. and Dominican Partners in the Deal

Clarity in roles is crucial since you have multiple parties (a U.S. company, a DR company, plus possibly a local end-buyer). In your scenario:

- **American MFG & MKT Association USA (U.S. Partner):** This is the **exporter** and likely the producer or supplier of the goods. Their role is to provide the products (dry goods, meats) and handle the export process. They will be the **party applying for the GSM-102 guarantee** and working with their U.S. bank to get paid under the program. The U.S. company must also ensure the products meet all U.S. export requirements (especially for meat: the product must come from USDA-approved facilities, have inspection certificates, etc.). If American MFG & MKT Assoc has any subsidiary or affiliate in the DR, that could be relevant for licensing (more on that shortly), but as per your description, they primarily act as the seller/exporter. Notably, the U.S. partner already **holds the necessary licenses/permits** related to importing these goods – this could imply they have ensured their products are approved for import to the DR (for example, the meat is from plants approved by DR, and any required export licenses or health permits are in place).
- **Dominican Partner Company (Broker/Facilitator):** The business in the DR is described as a **broker or facilitator**. This means they are not producing the goods, and they are not the U.S. exporter; rather, they coordinate the transaction and local logistics. In practice, the DR partner can function in one of two ways:
    - *Importer-Distributor Role:* The DR company with the import license may actually **act as the importer of record** for the shipment. They would purchase the goods from the U.S. exporter (perhaps on behalf of other clients), bring the goods in under their import license, clear customs, and then distribute or sell to local buyers (like supermarkets, food processors, or companies such as “Zapp”). In this case, the sales contract under GSM-102 could be between the U.S. exporter and the DR partner’s company directly. The DR company would then be the one opening the L/C through its bank and owing the money to the bank after resale. This model is common if the DR partner has the capability and license to import and wants to be the **distributor in the local market**.
    - *Facilitator/Broker Role:* Alternatively, the DR partner might simply **facilitate a deal between the U.S. exporter and another Dominican buyer** (for example, a large food distributor or food processing company in the DR). In that case, the actual importer could be that end buyer (e.g., Company Zapp or others), who opens the L/C and buys the goods, while the DR partner earns a commission or fee for arranging the transaction and handling the paperwork. The DR partner

would still use its expertise and perhaps its import permit to help with clearance, but the **financial transaction would be directly between the U.S. exporter and the end buyer**. If this is the setup, it's important to ensure the end buyer is aware of and participates in the GSM-102 process (their bank, their commitment to pay later, etc.).

- **Import Licensing and Local Permits:** You mentioned one party *"has the import licenses"* for the products (meat and dry goods). It is **critical** that whichever entity is serving as the Dominican importer (whether it's the DR partner's firm or the end customer) possesses the proper Dominican import permit/license for those products. In the DR, **all agricultural products (including meats and food items) require import permits** from the Ministry of Agriculture for each shipment. If the American company has already secured a Dominican import permit or partnered with someone who has one, that smooths the process. Commonly, the **local Dominican partner holds the import permit**, since they are on the ground and can navigate the local bureaucracy. They may have, for example, a license to import meat (which often entails meeting food safety requirements) and a sanitary registration for the products. This needs to be sorted out before shipping – **no shipment of meat or food will clear customs in the DR without the proper import permit for that specific load**.
- **Division of Responsibilities:** Make sure to **clearly delineate who will do what**:
    - The **U.S. exporter** will handle GSM-102 paperwork with USDA, produce and ship the goods, and provide all export documentation. They also handle compliance with U.S. export regulations (for example, getting USDA Food Safety Inspection Service export certificates for meat, if required).
    - The **Dominican partner/importer** will handle local aspects: obtaining import permit from the Ministry of Agriculture for the shipment, ensuring the product is registered with the Ministry of Health if needed, arranging customs brokerage, and working with the Dominican bank to issue the L/C. They'll also handle local storage, marketing, or distribution of the goods once received, in line with their role as a broker or distributor.
    - Both parties should coordinate on the **letter of credit terms** and ensure the L/C is set up correctly (e.g. in the right currency, usually USD, and that all required documents are agreed upon so there are no surprises when it's time to present documents).

In summary, the U.S. partner brings the product and financing guarantee to the table, and the DR partner brings the local market access, licensing, and on-the-ground execution. Together, you form a supply chain bridge from the U.S. producer to Dominican consumers, with GSM-102 reducing the financial friction in between.

Handling Customs and Import Regulations in the Dominican Republic

Dealing with customs and regulatory compliance is a major part of the plan – especially since you're trading agricultural commodities (which are often heavily regulated). Here's what you need to address to **smoothly navigate Dominican customs** and related import requirements:

- **Preferential Tariff Treatment (CAFTA-DR):** The Dominican Republic and the U.S. are part of the CAFTA-DR free trade agreement. As of 2025, most U.S. agricultural exports to the DR enjoy **zero or reduced tariffs** as long as they meet rules of origin. For your products (meats, dry goods), this means you should capitalize on duty-free access if possible. The **Dominican importer must claim this preferential tariff** at customs by providing a **certificate of origin or equivalent statement** that the goods qualify under CAFTA-DR. In practice, the U.S. exporter should prepare a **certificate of origin** (or even a simplified statement on the commercial invoice) and work with the DR partner to ensure all origin criteria are met. The **Dominican customs (Dirección General de Aduanas)** will require this documentation to waive or reduce duties. *Tip:* Make sure the product truly originates in the USA (for example, if it's processed food, verify the content meets regional value or ingredient origin rules). Ultimately, it's the importer's responsibility to prove origin to customs, but the U.S. supplier should assist in providing accurate documents.
- **Import Permits for Agricultural Goods:** As noted, **each shipment** of agricultural products (including **meat and foodstuffs**) to the DR must have an **import permit from the Ministry of Agriculture**. This is a critical step that the Dominican partner needs to handle in advance of shipping. Typically, the importer applies for a permit specifying the product, quantity, origin, and ensures that the product meets health and safety standards. Given that meat is involved, Dominican authorities will likely check that the exporting slaughterhouse or processor in the U.S. is approved and that the U.S. has equivalent inspection systems. Ensure your DR partner submits the import permit application early, as sometimes **local industry lobbies (e.g. domestic meat or dairy producers) attempt to delay or block permits** to limit competition. Having all paperwork in order and demonstrating demand or end-customer need can help in getting the permit. Your mention that the company *"has a license in the DR to bring in dry goods and meats"* is a good sign – it suggests they are already an established importer for those categories. Still, **don't skip the shipment-by-shipment permits**; even licensed importers need per-shipment authorizations for many ag products in the DR.
- **Sanitary/Phytosanitary Certificates:** Every agricultural shipment should be accompanied by the relevant **health certificates from the country of origin**. For **meat products**, the U.S. exporter must obtain a **Veterinary Health Certificate** (issued by USDA's Food Safety and Inspection Service for meat/poultry) attesting that the meat meets DR's import requirements (disease-free, processed in approved facility, etc.). This certificate will be required by Dominican authorities at the port of entry, and often its details (certificate number, etc.) might need to be referenced in the import permit. For **dry goods** (depending on what they are – e.g. grains, processed foods, etc.), a **phytosanitary certificate** might be needed if it's a plant product (grains, nuts, etc.), and if it's a processed/prepackaged food, at minimum a **certificate of free sale or sanitary certificate** might be useful. The DR's customs and agriculture inspectors will use these

documents to clear the goods, sometimes even **testing samples at the port to ensure they are pest- or disease-free**. Coordinate with USDA APHIS or FSIS as appropriate to get these certificates issued just before shipment.

- **Product Registration and Labeling:** If the dry goods or meat products are **consumer-ready (packaged for retail)**, the Dominican Republic requires a **sanitary registration** with the Ministry of Public Health (through DIGEMAPS) for each product and also enforces **Spanish labeling requirements**. Sanitary registration is essentially a product license: you submit product details and lab reports and obtain a registration number that is valid for a few years, allowing the product to be sold in the DR. Check if your DR partner has already registered the products – since they have a business importing food, they may have done this for similar items. If not, factor in time to register the products before commercial shipments. As for labeling, ensure that **labels are in Spanish** (or bilingual) or plan for the DR team to **affix Spanish stickers** on the packages upon arrival (this is allowed if done before the product reaches retail). The label should include information like product name, ingredients, net weight, producer, importer info, expiration date, etc., per Dominican regulations.
- **Customs Broker and Documentation:** It's highly advisable that the Dominican partner either has a **licensed customs broker** or is themselves experienced in customs clearance. All import documentation (commercial invoice, packing list, bill of lading, the import permit, certificates, origin certification, etc.) will be presented to the **Dominican Customs (DGA)**. They will calculate any duties/taxes (e.g., even if tariffs are zero, the importer still pays ITBIS—similar to VAT—on many goods, unless exempt). The broker will ensure forms are filled, inspections are coordinated, and the goods are cleared out of the port. Given that GSM-102 is about financing, note that **the customs process is separate** – duties or taxes, if any, must be paid when due (typically at clearance) and are not covered by GSM-102 financing. However, if tariffs are zero under CAFTA-DR, only VAT and maybe minimal fees would apply.
- **Shipping and Logistics Considerations:** Coordinate the logistics so that nothing holds up the shipment unnecessarily at the port:
    - For refrigerated/frozen **meats**, ensure proper cold chain management and that the DR partner is ready to receive and store the product (inspections for meat might be quick, but delays can be costly if containers sit at port).
    - For dry goods, ensure packaging is compliant (no wood pallets without treatment stamps, etc., to avoid phytosanitary issues).
    - Check if the **port of entry** has any specific requirements; sometimes the DR has certain ports designated for certain goods.
    - The **bill of lading** should list the Dominican importer or their broker as the consignee, so they can claim the goods. If the American exporter is shown as consignee, it complicates clearance.

By proactively managing these customs and regulatory steps, you'll avoid costly delays or rejections. To summarize the key points: **claim your tariff benefits** under CAFTA-DR with proper origin documentation, **secure import permits for each shipment** well in advance, **include all necessary health certificates** with the shipment, and **comply with product**

registration and labeling rules. Your Dominican partner, armed with their import license and local know-how, will be instrumental in navigating these requirements.

Additional Tips and Final Considerations

Finally, consider these additional tips to ensure a successful partnership and program utilization:

- **Work Closely with Banks:** Establish communication early with the banks involved. The U.S. exporter should talk to their U.S. bank about handling a GSM-102 backed letter of credit – not all small banks are familiar with it, so you may involve larger or specialized banks if needed. Likewise, the Dominican partner should consult with the approved Dominican banks (e.g., BHD León or Banreservas) to understand their process for issuing GSM-102 L/Cs and what they require from the importer. Banks often have specific formats for these transactions.
- **Contract Clarity:** In your contracts (between the U.S. exporter and the DR buyer, and any internal agreement between the U.S. company and the DR broker), clearly state responsibilities for obtaining permits, who bears costs like freight, insurance, duties, and what happens in scenarios like permit delays or payment delays. For instance, if an import permit is denied, is there a backup plan? GSM-102 covers credit risk, but **performance risk** (like the importer refusing goods or regulatory refusal) is outside of that, so your commercial contract should cover those possibilities.
- **Compliance with U.S. Export Controls:** Ensure the products and transaction comply with any U.S. export regulations. Agricultural products generally aren't restricted, but if any ingredient or technology is involved (less likely here), check the **U.S. export control** lists. Also, filing the Electronic Export Information (EEI) in AES for shipments over $2,500 is required in the U.S. – your freight forwarder can handle this.
- **Leverage USDA and FAS Resources:** The USDA's Foreign Agricultural Service and local offices (including those covering the Caribbean) can provide guidance. Since GSM-102 is a U.S. government program, don't hesitate to reach out to program representatives for any clarifications – they can help ensure you fill applications correctly. FAS also sometimes has staff in or covering the Dominican Republic who can advise on market entry, regulatory changes, or even connect you with importers (though you already have a partner).
- **Prepare for Documentation and Record-Keeping:** GSM-102 will involve some paperwork (applications, guarantee agreements, etc.), and the banks will have documentation for the L/C and loan. Keep organized records of all these, along with shipping and customs docs. This will help if you ever need to make a claim on the guarantee or during any audit. It also ensures transparency between you and your partners.
- **Timeline Coordination:** Align the timelines of everything. For example, the **import permit approval** in DR should coincide with the shipment schedule; the L/C issuance should coincide with the guarantee application. Typically, you'd want the L/C issued *before* or at least by the time you apply for the GSM-102 guarantee (since you need to

reference the foreign bank and terms in the application), and definitely before shipping. Give yourself buffer time for the bureaucratic steps (both U.S. and DR).

- **Local Distribution and Sales:** Once the goods are imported, the Dominican partner (or the end buyer like "Zapp") will distribute or use them. Make sure arrangements are in place for cold storage (for meats) or warehousing (for dry goods), and that any local sales comply with Dominican laws (e.g., proper invoicing with ITBIS tax, etc.). These downstream details don't affect GSM-102 directly, but a smooth sale to end customers will ensure the importer has the funds to repay the bank on time! The **importer's repayment to their bank** will depend on successfully selling the product in the local market.
- **Plan for Contingencies:** Even with the best planning, sometimes issues arise – a shipment might get delayed, or a permit takes longer than expected. Have contingency plans: maybe split shipments to test the waters, insure your cargo, and perhaps initially use shorter credit terms to build trust. Over time, as your DR business grows, you might not always need GSM-102 if you establish other financing, but it's an excellent tool especially in the beginning or for large orders.

In conclusion, leveraging the **GSM-102 program** can significantly boost your U.S.–Dominican Republic trade by providing financial security and attractive credit terms. Your Dominican partner's role in handling local import regulations and distribution is equally crucial – with import permits, licenses, and customs clearance managed properly, the pathway is clear for U.S. agricultural products to reach Dominican buyers. By following the steps above and paying attention to compliance details, you can create a robust export operation that benefits all parties involved. Good luck with your venture, and enjoy the process of expanding your business through this supportive U.S. government program!

Sources:

- USDA Foreign Agricultural Service – *Export Credit Guarantee Program (GSM-102) overview and country participation*
- International Trade Administration – *Trade Finance Guide: GSM-102 process and benefits*
- International Trade Administration – *Dominican Republic: Import Requirements and Documentation* (customs, CAFTA-DR, and import permit guidelines)

Sources

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6. **Assign the Guarantee to a U.S. Bank:** In most cases, the U.S. exporter will **assign the CCC guarantee to a U.S. commercial bank** that will finance the transaction. Practically, this means the exporter finds a U.S. bank (perhaps their own bank) that is willing to take the USDA guarantee as security. That U.S. bank effectively becomes the entity extending credit to the Dominican bank. By assigning the guarantee, the exporter transfers the right to claim the guarantee to the bank – this way, the **bank will pay the exporter upfront** for the shipment, and then await repayment from the Dominican bank under the USDA-guaranteed terms.

7. **Ship the Goods and Provide Documents:** Once the guarantee is in place and financing is arranged, the U.S. exporter proceeds to **ship the goods** (meat, dry goods) to the Dominican Republic. Documentation is critical here. The exporter must gather all required **shipping documents** and present them to the U.S. bank (the one that has the L/C and guarantee) in order to get paid. Typical documents include: commercial invoice, packing list, **bill of lading**, insurance certificate (if required), and any specialized certificates (e.g. **USDA health certificate for meats** or a phytosanitary certificate for plant products) – basically whatever is stipulated in the letter of credit and required by Dominican import regulations. The U.S. bank will **examine the documents** to ensure they comply with the L/C terms. Once everything is in order, the U.S. bank pays the exporter (see next step).
8. **Exporter Gets Paid by U.S. Bank:** With compliant documents presented, the U.S. bank will **pay the U.S. exporter at sight** (essentially immediately or within a very short time). At this point, the exporter's role in the payment cycle is essentially done – they've gotten their money for the sale. The U.S. bank now steps into the waiting position: under the GSM-102 arrangement, that bank has extended a loan (guaranteed by USDA) to the **foreign (Dominican) bank** for the value of the shipment.
9. **Deferred Payment by the Dominican Bank/Importer:** The Dominican bank that issued the L/C now owes the U.S. bank the amount paid, but on the **agreed credit terms**. For example, if it was a 180-day credit, the foreign bank will repay the U.S. bank in 180 days (or in installments, if structured that way). The Dominican importer in turn owes their local bank according to whatever terms they agreed (the local bank may require the importer to pay in local currency on a schedule, etc.). In summary, the **foreign bank pays back the U.S. bank** over time, and the **importer pays the foreign bank**. All of this is backed by the GSM-102 guarantee in case something goes wrong.
10. **If Default Occurs – Claim the Guarantee:** In the event the **Dominican bank fails to pay** the U.S. bank as promised (e.g. due to default or insolvency), the U.S. bank (as the holder of the CCC guarantee) can **file a claim with USDA** to recover the guaranteed amount. The USDA would then pay out (covering ~98% of the outstanding principal) to make the U.S. bank whole for the loss. The remaining 2% exposure is typically the risk that the U.S. bank (or sometimes the exporter, depending on arrangement) retains – a small fraction, ensuring they still exercise due diligence in partner selection. Fortunately, such defaults are rare, and with reputable banks like BHD León or Banreservas, the transactions usually conclude with the foreign bank paying as agreed.

Visualizing the Flow: Essentially, GSM-102 creates a chain where the **USDA (CCC)** stands behind the U.S. bank, the U.S. bank stands behind the U.S. exporter (paying them upfront), and the **Dominican bank** extends credit to the **Dominican importer**. The Dominican partner or buyer gets the goods right away but pays over time; the U.S. exporter ships the goods and gets paid right away; the banks facilitate this by using the USDA guarantee as a safety net.

Roles of the U.S. and Dominican Partners in the Deal

Clarity in roles is crucial since you have multiple parties (a U.S. company, a DR company, plus possibly a local end-buyer). In your scenario:

- **American MFG & MKT Association USA (U.S. Partner):** This is the **exporter** and likely the producer or supplier of the goods. Their role is to provide the products (dry goods, meats) and handle the export process. They will be the **party applying for the GSM-102 guarantee** and working with their U.S. bank to get paid under the program. The U.S. company must also ensure the products meet all U.S. export requirements (especially for meat: the product must come from USDA-approved facilities, have inspection certificates, etc.). If American MFG & MKT Assoc has any subsidiary or affiliate in the DR, that could be relevant for licensing (more on that shortly), but as per your description, they primarily act as the seller/exporter. Notably, the U.S. partner already **holds the necessary licenses/permits** related to importing these goods – this could imply they have ensured their products are approved for import to the DR (for example, the meat is from plants approved by DR, and any required export licenses or health permits are in place).
- **Dominican Partner Company (Broker/Facilitator):** The business in the DR is described as a **broker or facilitator**. This means they are not producing the goods, and they are not the U.S. exporter; rather, they coordinate the transaction and local logistics. In practice, the DR partner can function in one of two ways:
    - *Importer-Distributor Role:* The DR company with the import license may actually **act as the importer of record** for the shipment. They would purchase the goods from the U.S. exporter (perhaps on behalf of other clients), bring the goods in under their import license, clear customs, and then distribute or sell to local buyers (like supermarkets, food processors, or companies such as "Zapp"). In this case, the sales contract under GSM-102 could be between the U.S. exporter and the DR partner's company directly. The DR company would then be the one opening the L/C through its bank and owing the money to the bank after resale. This model is common if the DR partner has the capability and license to import and wants to be the **distributor in the local market**.
    - *Facilitator/Broker Role:* Alternatively, the DR partner might simply **facilitate a deal between the U.S. exporter and another Dominican buyer** (for example, a large food distributor or food processing company in the DR). In that case, the actual importer could be that end buyer (e.g., Company Zapp or others), who opens the L/C and buys the goods, while the DR partner earns a commission or fee for arranging the transaction and handling the paperwork. The DR partner would still use its expertise and perhaps its import permit to help with clearance, but the **financial transaction would be directly between the U.S. exporter and the end buyer**. If this is the setup, it's important to ensure the end buyer is aware of and participates in the GSM-102 process (their bank, their commitment to pay later, etc.).
- **Import Licensing and Local Permits:** You mentioned one party *"has the import licenses"* for the products (meat and dry goods). It is **critical** that whichever entity is serving as the Dominican importer (whether it's the DR partner's firm or the end

customer) possesses the proper Dominican import permit/license for those products. In the DR, **all agricultural products (including meats and food items) require import permits** from the Ministry of Agriculture for each shipment. If the American company has already secured a Dominican import permit or partnered with someone who has one, that smooths the process. Commonly, the **local Dominican partner holds the import permit**, since they are on the ground and can navigate the local bureaucracy. They may have, for example, a license to import meat (which often entails meeting food safety requirements) and a sanitary registration for the products. This needs to be sorted out before shipping – **no shipment of meat or food will clear customs in the DR without the proper import permit for that specific load**.

- **Division of Responsibilities:** Make sure to **clearly delineate who will do what**:
    - The **U.S. exporter** will handle GSM-102 paperwork with USDA, produce and ship the goods, and provide all export documentation. They also handle compliance with U.S. export regulations (for example, getting USDA Food Safety Inspection Service export certificates for meat, if required).
    - The **Dominican partner/importer** will handle local aspects: obtaining import permit from the Ministry of Agriculture for the shipment, ensuring the product is registered with the Ministry of Health if needed, arranging customs brokerage, and working with the Dominican bank to issue the L/C. They'll also handle local storage, marketing, or distribution of the goods once received, in line with their role as a broker or distributor.
    - Both parties should coordinate on the **letter of credit terms** and ensure the L/C is set up correctly (e.g. in the right currency, usually USD, and that all required documents are agreed upon so there are no surprises when it's time to present documents).

In summary, the U.S. partner brings the product and financing guarantee to the table, and the DR partner brings the local market access, licensing, and on-the-ground execution. Together, you form a supply chain bridge from the U.S. producer to Dominican consumers, with GSM-102 reducing the financial friction in between.

Handling Customs and Import Regulations in the Dominican Republic

Dealing with customs and regulatory compliance is a major part of the plan – especially since you're trading agricultural commodities (which are often heavily regulated). Here's what you need to address to **smoothly navigate Dominican customs** and related import requirements:

- **Preferential Tariff Treatment (CAFTA-DR):** The Dominican Republic and the U.S. are part of the CAFTA-DR free trade agreement. As of 2025, most U.S. agricultural exports to the DR enjoy **zero or reduced tariffs** as long as they meet rules of origin. For your products (meats, dry goods), this means you should capitalize on duty-free access if possible. The **Dominican importer must claim this preferential tariff** at customs by

providing a **certificate of origin or equivalent statement** that the goods qualify under CAFTA-DR. In practice, the U.S. exporter should prepare a **certificate of origin** (or even a simplified statement on the commercial invoice) and work with the DR partner to ensure all origin criteria are met. The **Dominican customs (Dirección General de Aduanas)** will require this documentation to waive or reduce duties. *Tip:* Make sure the product truly originates in the USA (for example, if it's processed food, verify the content meets regional value or ingredient origin rules). Ultimately, it's the importer's responsibility to prove origin to customs, but the U.S. supplier should assist in providing accurate documents.

- **Import Permits for Agricultural Goods:** As noted, **each shipment** of agricultural products (including **meat and foodstuffs**) to the DR must have an **import permit from the Ministry of Agriculture**. This is a critical step that the Dominican partner needs to handle in advance of shipping. Typically, the importer applies for a permit specifying the product, quantity, origin, and ensures that the product meets health and safety standards. Given that meat is involved, Dominican authorities will likely check that the exporting slaughterhouse or processor in the U.S. is approved and that the U.S. has equivalent inspection systems. Ensure your DR partner submits the import permit application early, as sometimes **local industry lobbies (e.g. domestic meat or dairy producers) attempt to delay or block permits** to limit competition. Having all paperwork in order and demonstrating demand or end-customer need can help in getting the permit. Your mention that the company *"has a license in the DR to bring in dry goods and meats"* is a good sign – it suggests they are already an established importer for those categories. Still, **don't skip the shipment-by-shipment permits**; even licensed importers need per-shipment authorizations for many ag products in the DR.
- **Sanitary/Phytosanitary Certificates:** Every agricultural shipment should be accompanied by the relevant **health certificates from the country of origin**. For **meat products**, the U.S. exporter must obtain a **Veterinary Health Certificate** (issued by USDA's Food Safety and Inspection Service for meat/poultry) attesting that the meat meets DR's import requirements (disease-free, processed in approved facility, etc.). This certificate will be required by Dominican authorities at the port of entry, and often its details (certificate number, etc.) might need to be referenced in the import permit. For **dry goods** (depending on what they are – e.g. grains, processed foods, etc.), a **phytosanitary certificate** might be needed if it's a plant product (grains, nuts, etc.), and if it's a processed/prepackaged food, at minimum a **certificate of free sale or sanitary certificate** might be useful. The DR's customs and agriculture inspectors will use these documents to clear the goods, sometimes even **testing samples at the port to ensure they are pest- or disease-free**. Coordinate with USDA APHIS or FSIS as appropriate to get these certificates issued just before shipment.
- **Product Registration and Labeling:** If the dry goods or meat products are **consumer-ready (packaged for retail)**, the Dominican Republic requires a **sanitary registration** with the Ministry of Public Health (through DIGEMAPS) for each product and also enforces **Spanish labeling requirements**. Sanitary registration is essentially a product license: you submit product details and lab reports and obtain a registration number that is valid for a few years, allowing the product to be sold in the DR. Check if

your DR partner has already registered the products – since they have a business importing food, they may have done this for similar items. If not, factor in time to register the products before commercial shipments. As for labeling, ensure that **labels are in Spanish** (or bilingual) or plan for the DR team to **affix Spanish stickers** on the packages upon arrival (this is allowed if done before the product reaches retail). The label should include information like product name, ingredients, net weight, producer, importer info, expiration date, etc., per Dominican regulations.

- **Customs Broker and Documentation:** It's highly advisable that the Dominican partner either has a **licensed customs broker** or is themselves experienced in customs clearance. All import documentation (commercial invoice, packing list, bill of lading, the import permit, certificates, origin certification, etc.) will be presented to the **Dominican Customs (DGA)**. They will calculate any duties/taxes (e.g., even if tariffs are zero, the importer still pays ITBIS—similar to VAT—on many goods, unless exempt). The broker will ensure forms are filled, inspections are coordinated, and the goods are cleared out of the port. Given that GSM-102 is about financing, note that **the customs process is separate** – duties or taxes, if any, must be paid when due (typically at clearance) and are not covered by GSM-102 financing. However, if tariffs are zero under CAFTA-DR, only VAT and maybe minimal fees would apply.
- **Shipping and Logistics Considerations:** Coordinate the logistics so that nothing holds up the shipment unnecessarily at the port:
    - For refrigerated/frozen **meats**, ensure proper cold chain management and that the DR partner is ready to receive and store the product (inspections for meat might be quick, but delays can be costly if containers sit at port).
    - For dry goods, ensure packaging is compliant (no wood pallets without treatment stamps, etc., to avoid phytosanitary issues).
    - Check if the **port of entry** has any specific requirements; sometimes the DR has certain ports designated for certain goods.
    - The **bill of lading** should list the Dominican importer or their broker as the consignee, so they can claim the goods. If the American exporter is shown as consignee, it complicates clearance.

By proactively managing these customs and regulatory steps, you'll avoid costly delays or rejections. To summarize the key points: **claim your tariff benefits** under CAFTA-DR with proper origin documentation, **secure import permits for each shipment** well in advance, **include all necessary health certificates** with the shipment, and **comply with product registration and labeling rules**. Your Dominican partner, armed with their import license and local know-how, will be instrumental in navigating these requirements.

Additional Tips and Final Considerations

Finally, consider these additional tips to ensure a successful partnership and program utilization:

- **Work Closely with Banks:** Establish communication early with the banks involved. The U.S. exporter should talk to their U.S. bank about handling a GSM-102 backed letter of

credit – not all small banks are familiar with it, so you may involve larger or specialized banks if needed. Likewise, the Dominican partner should consult with the approved Dominican banks (e.g., BHD León or Banreservas) to understand their process for issuing GSM-102 L/Cs and what they require from the importer. Banks often have specific formats for these transactions.

- **Contract Clarity:** In your contracts (between the U.S. exporter and the DR buyer, and any internal agreement between the U.S. company and the DR broker), clearly state responsibilities for obtaining permits, who bears costs like freight, insurance, duties, and what happens in scenarios like permit delays or payment delays. For instance, if an import permit is denied, is there a backup plan? GSM-102 covers credit risk, but **performance risk** (like the importer refusing goods or regulatory refusal) is outside of that, so your commercial contract should cover those possibilities.
- **Compliance with U.S. Export Controls:** Ensure the products and transaction comply with any U.S. export regulations. Agricultural products generally aren't restricted, but if any ingredient or technology is involved (less likely here), check the **U.S. export control** lists. Also, filing the Electronic Export Information (EEI) in AES for shipments over $2,500 is required in the U.S. – your freight forwarder can handle this.
- **Leverage USDA and FAS Resources:** The USDA's Foreign Agricultural Service and local offices (including those covering the Caribbean) can provide guidance. Since GSM-102 is a U.S. government program, don't hesitate to reach out to program representatives for any clarifications – they can help ensure you fill applications correctly. FAS also sometimes has staff in or covering the Dominican Republic who can advise on market entry, regulatory changes, or even connect you with importers (though you already have a partner).
- **Prepare for Documentation and Record-Keeping:** GSM-102 will involve some paperwork (applications, guarantee agreements, etc.), and the banks will have documentation for the L/C and loan. Keep organized records of all these, along with shipping and customs docs. This will help if you ever need to make a claim on the guarantee or during any audit. It also ensures transparency between you and your partners.
- **Timeline Coordination:** Align the timelines of everything. For example, the **import permit approval** in DR should coincide with the shipment schedule; the L/C issuance should coincide with the guarantee application. Typically, you'd want the L/C issued *before* or at least by the time you apply for the GSM-102 guarantee (since you need to reference the foreign bank and terms in the application), and definitely before shipping. Give yourself buffer time for the bureaucratic steps (both U.S. and DR).
- **Local Distribution and Sales:** Once the goods are imported, the Dominican partner (or the end buyer like "Zapp") will distribute or use them. Make sure arrangements are in place for cold storage (for meats) or warehousing (for dry goods), and that any local sales comply with Dominican laws (e.g., proper invoicing with ITBIS tax, etc.). These downstream details don't affect GSM-102 directly, but a smooth sale to end customers will ensure the importer has the funds to repay the bank on time! The **importer's repayment to their bank** will depend on successfully selling the product in the local market.

- **Plan for Contingencies:** Even with the best planning, sometimes issues arise – a shipment might get delayed, or a permit takes longer than expected. Have contingency plans: maybe split shipments to test the waters, insure your cargo, and perhaps initially use shorter credit terms to build trust. Over time, as your DR business grows, you might not always need GSM-102 if you establish other financing, but it's an excellent tool especially in the beginning or for large orders.

In conclusion, leveraging the **GSM-102 program** can significantly boost your U.S.–Dominican Republic trade by providing financial security and attractive credit terms. Your Dominican partner's role in handling local import regulations and distribution is equally crucial – with import permits, licenses, and customs clearance managed properly, the pathway is clear for U.S. agricultural products to reach Dominican buyers. By following the steps above and paying attention to compliance details, you can create a robust export operation that benefits all parties involved. Good luck with your venture, and enjoy the process of expanding your business through this supportive U.S. government program!

Sources:

- USDA Foreign Agricultural Service – *Export Credit Guarantee Program (GSM-102) overview and country participation*
- International Trade Administration – *Trade Finance Guide: GSM-102 process and benefits*
- International Trade Administration – *Dominican Republic: Import Requirements and Documentation* (customs, CAFTA-DR, and import permit guidelines)

Sources